

PERFORMANCE IMPROVEMENT PLAN (PIP)



1. Policy Statement

The Company recognizes that consistent performance, productivity, quality, and accountability are essential to business operations and service delivery. At the same time, the Company is committed to providing employees with reasonable guidance, coaching, and opportunities to improve where performance falls below established expectations.

This Policy establishes the Company's framework for identifying performance deficiencies, providing structured coaching and developmental support, and implementing a **Performance Improvement Plan (PIP)** for employees who fail to meet the required performance standards, key performance indicators (KPIs), productivity expectations, quality metrics, attendance standards (where performance-related), or other job-related targets applicable to their role.

The **Performance Improvement Plan (PIP)** is intended as a **corrective and developmental performance management tool** and shall not, by itself, be considered a disciplinary penalty. However, continued failure to meet clearly communicated and reasonable performance standards despite coaching, intervention, support, and repeated opportunities to improve may result in administrative review and may lead to disciplinary action, subject to due process and applicable labor laws.

2. Purpose

This Policy is intended to:

- Establish a fair, consistent, and documented process for addressing substandard performance;
- Provide employees with clear notice of performance gaps and expected improvements;
- Provide reasonable coaching, support, and performance guidance prior to escalation;
- Promote accountability for performance, productivity, quality, and work standards;
- Create a documented basis for performance management decisions; and
- Protect both the employee and the Company by distinguishing developmental performance interventions from formal disciplinary action, while preserving the Company's right to impose administrative measures where performance deficiencies persist.

3. Coverage

This Policy shall apply to all employees of the Company, regardless of employment status, who are subject to performance standards, productivity targets, quality metrics, attendance-related performance metrics, service levels, or other job-related performance expectations.

This Policy shall apply whenever an employee fails to meet the established and communicated standards applicable to the employee's role, account, campaign, program, department, or function.

4. Definition of Performance Deficiency

For purposes of this Policy, **performance deficiency** refers to an employee's failure to meet one or more of the following, as applicable to the role:

- Key Performance Indicators (KPIs);
- Productivity targets;
- Quality assurance standards;
- Accuracy or output standards;
- Attendance or adherence metrics that are directly tied to operational performance;
- Client, account, or program-specific performance expectations, provided such expectations are lawful, reasonable, and communicated;
- Timeliness, responsiveness, or deliverable completion standards; or
- Other objectively measurable performance standards required for the role.

A performance deficiency must be based on **documented, measurable, job-related, and previously communicated standards**. No employee shall be placed on a PIP based solely on vague, subjective, arbitrary, discriminatory, or uncommunicated expectations.

5. General Principles

The following principles shall govern the implementation of this Policy:

- Performance standards must be **reasonable, lawful, measurable, and clearly communicated** to the employee;
- Employees must be given **timely feedback and a fair opportunity to improve**;
- Coaching and PIP interventions must be **documented**;
- A PIP is a **developmental performance tool** and not an automatic disciplinary sanction;

- Failure to improve after repeated interventions may lead to **administrative review** and possible disciplinary action, subject to due process;
- PIP implementation must be **consistent, non-discriminatory, and based on objective criteria**; and
- Management retains the right to determine whether the employee's continued performance is compatible with business needs, operational requirements, and the standards of the role, subject to applicable law.

6. Progressive Performance Management Process

Where an employee fails to meet the required performance standards, the following progressive process shall generally apply, unless management determines that a different approach is justified by the nature of the role, the seriousness of the deficiency, business urgency, or operational requirements:

6.1 Initial Coaching / First Performance Intervention

Upon the employee's first identified failure to meet the required performance goal, KPI, or applicable performance standard:

- The immediate supervisor or manager shall conduct **performance coaching** with the employee;
- The employee shall be informed of the specific performance gap;
- The expected standard or KPI shall be clarified;
- The employee shall be given guidance, action steps, and a reasonable opportunity to improve; and
- The coaching session should be documented through a coaching note, coaching log, or equivalent internal record.

At this stage, the intervention is developmental and is not considered formal disciplinary action.

6.2 PIP 1 (First Formal Performance Improvement Plan)

If the employee fails to meet the required performance standard again after the initial coaching and after being given a reasonable monitoring period, the employee may be placed under **PIP 1**.

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PIP 1 shall include:

- A written record that the employee is being placed under the first level of Performance Improvement Plan;
- The specific KPI, metric, goal, or standard not met;
- The target level of improvement expected;
- The monitoring period or review period;
- The support, coaching, or action steps to be provided;
- The consequences of continued failure to improve, including possible escalation to a higher level of PIP.

PIP 1 remains a developmental intervention and is not, by itself, a disciplinary sanction.

6.3 PIP 2 (Second-Level Performance Improvement Plan)

If the employee fails to achieve the required performance standard again after PIP 1 and the applicable review period, the employee may be escalated to **PIP 2**.

PIP 2 shall include:

- A second-level written PIP record;
- A documented **coaching log** or equivalent performance intervention record;
- A clear summary of prior coaching and PIP 1 interventions;
- Specific identification of the recurring performance deficiency;
- A renewed action plan and improvement expectations;
- A clear written advisory that continued failure to meet the required performance standards may lead to **administrative review and possible disciplinary action**, subject to due process and applicable company policies.

At this stage, the employee must be clearly informed that failure to improve may result in escalation beyond performance coaching and may lead to formal administrative proceedings.

6.4 PIP 3 (Final Performance Improvement Plan / Final Performance Intervention)

If the employee continues to fail to meet the required performance standard after PIP 2 and the applicable review period, the employee may be escalated to **PIP 3**, which shall serve as the final structured performance intervention prior to formal administrative review.

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PIP 3 shall include:

- A final-level written PIP record;
- A summary of prior coaching, PIP 1, and PIP 2 interventions;
- The employee's performance history relevant to the deficiency;
- A written management explanation or performance assessment outlining:
 - the performance standards involved;
 - the prior interventions provided;
 - the opportunities given to the employee;
- the impact of continued underperformance on operations, service delivery, productivity, quality, or business needs; and
- the basis for possible administrative escalation if performance remains unsatisfactory.

The employee shall be clearly informed that continued failure to improve after PIP 3 may result in formal administrative action under the Company's disciplinary process, subject to due process and applicable labor laws.

7. Transition from PIP to Administrative Review

If the employee continues to fail to meet the required performance standards after the applicable coaching, PIP interventions, and reasonable opportunities to improve, the matter may be elevated for **administrative review**.

Administrative review may be initiated where management determines that:

- The performance standards were lawful, reasonable, and clearly communicated;
- The employee was given sufficient coaching, support, and documented opportunities to improve;
- The employee was informed of the consequences of continued non-improvement;
- The performance deficiency is recurring, substantial, and materially affects operations, productivity, quality, service delivery, client obligations, or business requirements; and
- Further continuation in the role without improvement is no longer operationally sustainable.

The existence of a PIP does not automatically justify disciplinary action. Any subsequent disciplinary action must be based on the employee's continued failure to meet reasonable job standards despite documented intervention, and must comply with the Company's due process requirements and applicable labor laws.

8. Due Process Prior to Administrative Sanctions

Where the Company determines that administrative sanctions may be warranted after the completion of the PIP process, the employee shall be afforded due process in accordance with the Company's disciplinary procedures and applicable labor laws.

This may include, as applicable:

- A written notice specifying the acts or omissions constituting the performance-related concern or continued failure to meet reasonable standards;
- A reasonable opportunity for the employee to submit a written explanation or response;
- Review of the employee's explanation, performance records, coaching logs, PIP documentation, and other relevant evidence;
- An administrative meeting or hearing, where applicable under company procedure; and
- Issuance of the appropriate decision, if warranted, based on the facts, documentation, and applicable policies.

No disciplinary sanction, including suspension or termination, shall be imposed solely on the basis that the employee was placed on PIP. The basis must be the employee's documented and continued failure to meet reasonable, job-related, and previously communicated performance standards, after having been given a fair opportunity to improve.

9. Possible Outcomes After PIP and Administrative Review

Depending on the employee's performance during or after the PIP process, and subject to management assessment, operational needs, and applicable law, the following outcomes may apply:

- Successful completion of the PIP and return to regular performance monitoring;
- Extension of the PIP period, where management determines that further monitoring is warranted and improvement remains reasonably achievable;
- Continued coaching or enhanced supervision;
- Reassignment to another role, account, team, or function, subject to business needs, availability of suitable positions, employee qualifications, and lawful management prerogative;
- Administrative sanction consistent with the Company's Code of Conduct or disciplinary policy, where justified by continued failure to meet reasonable standards after repeated intervention and due process; or

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- Other lawful and appropriate employment action consistent with company policies, operational requirements, and applicable labor laws.

10. Responsibilities

10.1 Employees

Employees are expected to:

- Understand and comply with the performance standards applicable to their role;
- Participate in coaching sessions and PIP discussions in good faith;
- Make reasonable efforts to improve performance within the prescribed period;
- Ask for clarification where expectations are unclear; and
- Cooperate with performance monitoring and documentation processes.

10.2 Supervisors and Managers

Supervisors and managers are expected to:

- Communicate performance standards clearly and timely;
- Conduct coaching and PIP discussions professionally and objectively;
- Document performance deficiencies, interventions, and improvement efforts;
- Apply this Policy consistently and fairly;
- Avoid arbitrary, discriminatory, or retaliatory implementation; and
- Coordinate with Human Resources where escalation to administrative review may be necessary.

10.3 Human Resources

Human Resources shall:

- Provide guidance on the implementation of this Policy;
- Review PIP documentation for consistency and procedural compliance, where necessary;
- Assist in administrative review and due process when escalation is warranted;
- Help maintain proper documentation; and
- Support management in aligning performance actions with company policy and labor law requirements.

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11. Non-Retaliation and Fair Application

This Policy shall be implemented in a fair, objective, and non-discriminatory manner.

No employee shall be placed on a PIP or subjected to performance escalation for unlawful, retaliatory, discriminatory, arbitrary, or bad-faith reasons.

The Company prohibits retaliation against any employee who raises legitimate concerns about performance standards, KPI computation, coaching accuracy, or policy application in good faith.

12. Non-Diminution and No Waiver of Rights

Nothing in this Policy shall be construed to diminish rights or benefits granted under applicable law, valid employment contracts, or existing company policies.

Likewise, nothing in this Policy shall be interpreted as a waiver of the Company's right to manage performance, enforce lawful standards, and take appropriate action where continued underperformance materially affects operations.

POLICY REVIEW

This policy will continue to be in force unless superseded by a revised policy. The company reserves the right to amend, abrogate, modify, rescind/ reinstate the entire policy or any part of it at any time.

DOCUMENT HISTORY

Version	Date	Author (function)	Reviewed by	Approved by	Nature of changes
1.0	March 18, 2026	Dolley Campugan, HR Generalist Apple Mag-usara, HR Generalist	Rhea Alao, Finance & Accounting Director Mark Valencia, Site Director Marc Louise Castanares, Site Manager	Giovanni Yap, Executive Director Anthony Aragon, HR Director	First Integrated issue